SUMMARY

- **Missing Vouchers** – While vouching if a number of vouchers or supporting documentary evidences are not available for the entries made in the books of account, such non-availability of vouchers is called as missing vouchers.
- **Vouching** – It is the technique used by the auditor to examine documentary evidence to ascertain the authenticity of entries in the books of accounts.
- **Voucher** – Documentary evidence in support of any business transaction disclosing the nature, source, its value and authority. It may be in the form of a receipt, bill, invoice, counterfoils, memos, agreements or resolutions of a meeting.
- **Vouching of Cash Book** – All transactions whether it is cash receipts or payments should be accounted in the cash book. The auditor should verify the correctness of the entries by examining the original documentary evidences. Therefore, the auditor should ensure that all receipts have been recorded in cash book and no fictitious payments appear on the payment side of cash book.
- **Vouching Receipts Side of Cash Book** – Errors and frauds usually arise in connection with cash receipts. Hence, the auditor should vouch all the cash transactions as possible and should ensure that all receipts have been accounted. The receipt side or debit side of cash book contains transactions such as opening balance, cash sales, cash received from debtors, interest and dividend received, sale of fixed assets and investments.

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EVALUATION

I. Multiple Choice Questions:

1. Vouching _____.
   a. Involves verification of transactions
   b. Unearths fraud
   c. Examines the documentary evidence in support of the transactions
   d. All the above
2. _____ is a documentary evidence in support of a transaction.
   a. Vouching b. Voucher
   c. Verification d. All the above
3. Routine checking is a part of _____
   a. Vouching
   a. Documentation
   c. Application of knowledge
   d. Verification of transactions
4. Vouchers are of two types, namely _____ _____
   a. Primary and duplicate
   b. Primary and Collateral
   c. Collateral and Secondary
   d. None of the above
5. Voucher which is produced in support of entries in the absence of an original Voucher, is called as a _____
   a. Primary Voucher
   b. Collateral Voucher
   c. Missing Voucher
   d. Valid Voucher

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